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Attorneys for Plaintiff HAWAII BREWERY DEVELOPMENT CO., INC., Debtor and Debtor in Possession

IN THE UNITED STATES BANKRUPTCY COURT
FOR THE DISTRICT OF HAWAII

In re:
CASE NO. 26-00311 (RJF)
(Chapter 11 – Subchapter V)
HAWAII BREWERY DEVELOPMENT CO., INC.,
Debtor.

HAWAII BREWERY DEVELOPMENT CO., INC.,
Plaintiff,

Adversary No. 26- _____

COMPLAINT

v.

HAWAIIAN SPRINGS, LLC, a Delaware limited liability company dba HAWAIIAN SPRINGS WATER; LEONITE FUND I, LP, and ROBERT L. STEVENS, solely in his capacity as an alleged Receiver,

Defendants.

COMPLAINT

Plaintiff HAWAII BREWERY DEVELOPMENT CO., INC., a Hawai'i Corporation ("Plaintiff" or "HBDC"), by and through its undersigned counsel, Bosko Petricevic, AAL, LLLC and Klein Law Group, LLLC, and for its Complaint, among other things, to determine that:

(a) the Lease (as defined below) has been breached and was or should be terminated; and

(b) none of Defendant HAWAIIAN SPRINGS, LLC ("HSW"), LEONITE FUND I, LP, ("Leonite") or ROBERT L. STEVENS (the "Receiver") solely in his capacity as an alleged Receiver, has any rights under the Lease (as defined below).

Plaintiff hereby alleges and avers as follows against HSW, Leonite, and the Receiver (collectively, "Defendants"):

PARTIES & PROPERTY & LEASE

1. HBDC is and was a domestic profit corporation organized and existing under the laws of the State of Hawai'i and the owner of that certain real estate parcel comprising approximately seven (7) acres of land located at 16-305 Volcano Road, Keaau, Island and County of Hawai'i, State of Hawai'i, further identified as Tax Map Key ("TMK") No. (3) 1-6-141-001 (the "Property").

2. HSW is a Delaware limited liability company dba HAWAIIAN SPRINGS WATER.

3. Upon information and belief, Leonite is a limited partnership organized under the laws of the State of Delaware.

4. Upon information and belief, the Receiver is an individual resident of the State of Colorado.

5. On or about June 1, 2001, HBDC, as landlord, entered into the Lease with Hawaiian Natural Water Company, Inc. as lessee.

6. On or about November 20, 2006, Hawaiian Natural Water Company, Inc., with the consent of HBDC, assigned its interest in the Lease to HSW.

7. HBDC is also the legal owner of the Premises[1], as defined in the Lease, a copy of which, including various amendments, is attached to this Complaint as Exhibit "A".

8. Upon information and belief, Leonite claims that it has an interest in the Lease by reason of being a secured creditor of HSW under the Uniform Commercial Code.

9. Upon information and belief, the Receiver was appointed as a receiver of the property of HSW at the request of Leonite and claims that he has an interest in, or right to control or sell, the Lease.

JURISDICTION AND VENUE

10. On April 16, 2026 (the "Petition Date"), HBDC filed a voluntary petition under Subchapter V of Chapter 11 of the Bankruptcy Code, commencing a bankruptcy case before the United States Bankruptcy Court for the District of Hawaii (the "Bankruptcy Court"), designated as Case No. 26-00311.

11. HBDC is a debtor and debtor in possession in this Chapter 11 case.

12. HBDC, as debtor in possession, has all the rights, powers, and duties specified in 11 U.S.C. § 1107 of a trustee serving in a case under chapter 11 of the Bankruptcy Code.

13. This Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 157 and 1334.

14. HBDC's claims make this a core proceeding pursuant to 28 U.S.C. § 157(b)(2) and 28 U.S.C. §§ 157(b)(2)(A), (B), (E), (K), (M), and (O).

15. HBDC consents to the entry of final order or judgment by the Bankruptcy Court.

16. Venue is proper before this Court pursuant to 28 U.S.C. §§ 1408 and 1409.

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[1] "Premises", as used herein, shall have the same meaning as the term is used in the Lease, including collectively: (1) the Property; (2) the water well located on the Property; and (3) the appurtenant pumping equipment described in Exhibit B to the Lease.

FACTUAL BACKGROUND

17. Plaintiff is the legal owner of the Property, including the Premises.

18. Under the terms of the Lease, in exchange for the lessee's performance of its obligations under the Lease, the lessee is permitted to "peaceably hold and enjoy the Premises for the [t]erm [of the Lease]."

19. HSW's obligations under the Lease included, without limitation, the following:

- Lease § 3 "Payment of Rent and Gross Excise Tax" required lessee to make payment during the term of the Lease on the first day of each and every month, equal to the "Base Rent" as defined therein, plus "Additional Rent" as defined therein and payable on a quarterly basis, with interest accruing at the rate of one percent (1%) per month on all Base Rent or Additional Rent which are not paid on or before their due date (collectively, "Rent"); and
- Lease § 4 "Payment of Charges and Taxes" required lessee to pay "directly, before the same become delinquent, all assessments and taxes levied on the [HSW Site] and the costs of all utilities and services consumed or used by [HSW] on the [HSW Site]."
- Lease § 7 "Maintenance and Repair of Premises" required lessee to make, build, maintain, and repair all improvements, at its own expense, during the whole of the term. In addition, the Lease required HSW to operate, maintain, repair and replace the equipment, as defined in the Lease, at its sole expense.
- Lease § 14 "Liability Insurance" and 15 "Casualty Insurance" required Lessee to obtain and maintain Liability and Casualty Insurance policies.
- Pursuant to the Lease, § 19 "Default" provides that if lessee fails to perform any of the covenants and agreements contained in the Lease, or fails to timely pay the Rent when due and payable, and "either of such failures continues for thirty (30) days after written notice thereof from [HBDC] . . .

[HBDC] may at once enter into and retake possession of the Premises and any improvements thereon, or any part thereof and at its option to terminate this Lease."

The First Proceeding and Repayment Plan

20. HSW has engaged in a pattern of failing and otherwise refusing to perform in good faith under the Lease to HBDC's substantial and continuing detriment.

21. HBDC was forced to file a breach of contract action against HSW on February 9, 2023, in the Circuit Court of the Third Circuit, State of Hawaii, Civil No. 3CCV-23-054.

22. On April 11, 2023, HBDC and HSW executed that certain Term Sheet by and between HBDC and HSW ("Term Sheet").

23. The Term Sheet served as a repayment plan to enable HSW to come and remain current on all of its outstanding payments that were, at the time, due and owing HBDC under the Lease and a Solar Energy Power Purchase Agreement dated June 4, 2014 (the "PPA") pursuant to which HBDC provides power to the Premises.

24. Under the PPA, HBDC agreed to install, own, finance, and operate a 300kW solar energy facility ("Energy System") located on the property adjacent to the lot leased by HSW.

25. The PPA requires HBDC to supply HSW with energy generated from the Energy System, and for HSW to purchase all of the energy output for its operations.

26. HBDC secured a $1.1 million loan to install the Energy System in accordance with the PPA, and HSW benefitted from HBDC's efforts and expenditure through reduced requirements and rates for electricity for its operation on the Premises.

27. As part of the Term Sheet, HBDC agreed to not actively prosecute the first lawsuit while the Term Sheet was in effect.

HSW Defaulted on the Term Sheet

28. While HSW timely paid the first payment owing under the Term Sheet, just two weeks later, HSW again defaulted under the Lease by failing to timely pay the May 2023 rent.

29. HBDC timely sent a notice of default on May 4, 2023.

30. HSW breached its obligations under the Term Sheet by failing to make its second payment due by May 15, 2023.

31. On May 17, 2023, HBDC sent HSW a written demand to cure its default under the Term Sheet by May 19, 2023.

32. HSW cured its default on May 18, 2023.

33. HSW eventually, but belatedly, cured its past defaults under the Term Sheet and paid rent for May 2023.

34. Thereafter, and consistent with its prior pattern and practice, HSW defaulted under the Lease by failing to make payments to HBDC.[2]

HSW's Defaults Continued Through Late 2023

35. HSW continued to fail and otherwise refused to tender Rent payments due and owing HBDC under the Lease for the months of August, September, October, and November 2023.

36. In accordance with the Lease, HBDC provided written notices to HSW of its corresponding defaults under the Lease on or around August 7, 2023, September 5, 2023, October 5, 2023, and November 3, 2023, for the Rent payments HSW failed and otherwise refused to tender for the respective months.

37. For the months of August, September, and October, HSW failed to cure its default within thirty (30) days after HBDC's written notice.

38. On November 6, 2023, HBDC sent written notice to HSW that HBDC was exercising its right to terminate the Lease as provided for therein (the "Termination Letter"), and that the parties' rights and obligations under the Lease were void and without effect, including, without limitation, HSW's right to remain on the Property.

39. HBDC requested that HSW vacate the Property on or prior to thirty (30) days of the date of the Termination Letter, i.e., December 6, 2023.

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[2]From 2022 through 2023, HBDC issued thirty-eight (38) default notices related to the Lease, PPA, and HSW's failure to pay real property tax.

40. HBDC informed HSW that unless HSW voluntarily vacated the Property on or prior to November 16, 2023, HBDC would pursue summary possession and ejectment.

41. HSW did not respond to the Termination Letter and has not agreed to voluntarily vacate the Property to date, despite the fact that it has no rights to possess, and no interest in, the Property.

42. HSW's nonpayment of the above-enumerated payments, and additional amounts which became due during the remaining term of the Lease, caused substantial financial harm to HBDC notwithstanding any subsequent cure attempts.

HSW's Unauthorized Assignment to Leonite

43. On or around December 26, 2023, HBDC received a wire transfer deposit in the amount of $134,000.00 from a third party ("Cure Payment").

44. Under Hawaii law, HRS § 666-5, "the acceptance of rent by the landlord during the litigation shall not be construed as a recognition of the tenancy and shall be without prejudice to the landlord's legal rights at the inception of the proceedings."

45. The description of the wire transfer transaction read: "WIRE TRANSFER CREDIT 20233600147800 ORG LEONITE FUND I, LP OBI."

46. Upon information and belief, the wire transfer came from Leonite, an entity that has identified itself as a secured creditor of HSW.

47. The Cure Payment did not compensate HBDC fully for HSW's track record of repeatedly defaulting on the Lease and forcing HBDC to seek relief from the court on multiple occasions.

48. In or about March 2025, the Receiver transmitted a letter of intent offering $50,000.00 to HBDC for, among other consideration, an agreement to transfer the Lease from HSW to "a new entity" in the event of an asset sale.

49. Upon information and belief, the "new entity" referred to was Leonite.

50. HBDC rejected the March 2025 offer.

51. HBDC has never consented to any assignment, transfer, or encumbrance of the Lease to Leonite or any entity affiliated with Leonite.

52. HBDC has never been provided with any documentation regarding any purported assignment, transfer, or encumbrance of HSW's leasehold interest to Leonite or any entity affiliated with Leonite.

53. The fact that Leonite tendered payment on HSW's behalf and has identified itself as a secured creditor of HSW suggests that HSW may have sought to assign or transfer the Lease to Leonite, or sought to grant Leonite a security interest in the Lease.

54. Even if HSW gave Leonite a security interest in HSW's property, under the Uniform Commercial Code of Hawaii (or any other state), such a security interest does not transfer any rights in real property, including a lease for real property.

55. Further, any such purported assignment, transfer, or encumbrance was made without HBDC's consent as required by § 11 of the Lease.

56. Pursuant to § 11 of the Lease, any attempt by HSW to assign, transfer, or encumber its leasehold interest without HBDC's prior written consent is void and constitutes a default under the Lease.

HSW's Bottling Operations Are Not Profitable

57. HSW's water bottling operations are not producing sufficient sales to be profitable.

58. HSW's profit and loss statement for 2025 shows a net loss of $2,000,000.00.

59. HSW's profit and loss statement for 2025 also shows that the cost of its goods and services is 180%, meaning HSW incurs a $1.80 expense for every $1.00 of sales.

60. Given HSW's losses, HBDC has never received any of the "Additional Rent" provided for under § 3 of the Lease.

61. Regular receipt of Additional Rent was a crucial and material term of the Lease.

HSW Failed to Maintain and Repair Damage to the Premises

62. The Lease at § 7 required HSW to maintain and repair all improvements and Equipment on the Premises at HSW's sole expense.

63. In pertinent part, § 7 of the Lease, titled "Maintenance and Repair of Premises," states as follows:

> Except as otherwise provided in this Lease, Lessee will, at its own expense, during the whole of the Term, make, build, maintain and repair all improvements, including, but not limited to sewers, drains, pavements and parking areas which now exist, or are later built by Lessee or which may be required by law to be made, built, maintained and repaired upon the Property or any part of it. In addition, Lessee shall operate, maintain, repair and replace, if necessary, the Equipment, at Lessee's sole expense. Lessee shall be entitled to the benefit of any warranty relating to the Equipment as may be available or provided to Lessor.

[The filed Complaint continues at paragraph 64 through paragraph 133 (the balance of the Factual Background, Counts I through VI, and the Prayer ¶¶ A through H in full) and the Lease attached as Exhibit "A". Those paragraphs are omitted from this transcription.]

WHEREFORE, Plaintiff HAWAII BREWERY DEVELOPMENT CO., INC., a Hawai'i Corporation respectfully requests judgment against Defendants as follows:

A. For damages in an amount to be proven at trial;

B. For a declaratory judgment that the Lease has been terminated and is of no force and effect, and that none of HSW, Leonite, or the Receiver has any rights to the Premises or the Property;

C. For prejudgment and post-judgment interest;

D. For its attorneys' fees, costs, and expenses;

E. For an order and writ of possession for the portions of the Premises unlawfully occupied and/or held by Defendants;

F. For an order requiring that HSW, Leonite, and the Receiver vacate the Premises and placing HBDC back in possession of the Property;

G. For damages for trespass against HSW, Leonite, and/or the Receiver, including loss of use and enjoyment of the property, loss of control over the property, and any other damages resulting from HSW, Leonite, and/or the Receiver's unlawful occupation, in an amount to be proven at trial; and

H. For such other and further relief as this Court deems just and proper.

DATED: Honolulu, Hawai‘i, May 14, 2026.

/s/ Bosko Petricevic
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/s/ Kurt W. Klein
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